

Consortium Blockchain: An Introduction

A consortium blockchain consists of multiple organisations or nodes working together to maintain a shared blockchain network. Its many benefits are making this blockchain variant pretty popular today.



The blockchain platform is popular for its decentralised nature, tamper-proof transactions and reliability. The reliability in the network is based on the consensus algorithm used in the execution of the platform. There are multiple variants of consensus algorithms that can be used in different types of blockchain platforms like private and public blockchain platforms.

A consortium blockchain is a permissioned blockchain platform. It is a hybrid solution combining the benefits of a private blockchain and public blockchain platform. Hence, it is getting more popular as it bridges the gap between both these platforms.

Importance of consortium blockchain

Blockchain platforms are classified in order of usability as private blockchain,

public blockchain, semi-private blockchain and consortium blockchain. In fact, semi-private blockchain is an early version of the hybrid blockchain platform as it offers an enterprise-level public blockchain platform to business users. For example, inventory management in a distributed platform, which connects the manufacturing and supplier units, is grouped together in a semi-private blockchain platform.

The consortium blockchain platform branched from this to provide a hybrid platform combining various blockchain platforms. This kind of architecture is also referred to as a federated blockchain platform as the governance and workflow is distributed in nature. This feature can be expected in private blockchain platforms and not on a public blockchain platform.

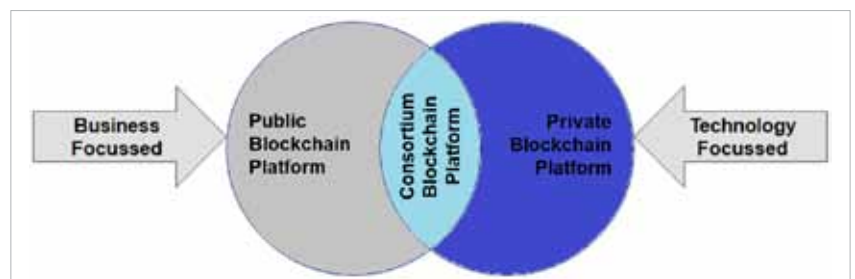


Figure 1: Consortium blockchain